

FLY pitch deck

PITCH — FLY — VERDICT

PROPOSED — PENDING ADJUDICATION — No position, no orders, size zero. Both benches reached REJECT/FLAT; they disagree about *why*, and the disagreement is the only durable output of this court.

What we believe

Firefly Aerospace is a real, revenue-generating rocket and spacecraft company — not a story stock with a slide deck. It printed \$117.7M of revenue in the June 2026 quarter, guides to \$420–450M for the full year, and holds \$635.3M of cash and short-term investments against only \$27.2M of debt. That combination is genuinely rare in small-cap space.

But three things we verified ourselves make it un-ownable at \$26.14:

1. **The cash burn is losses, not timing.** The company burned \$144.1M of operating cash in the first half of 2026. Only about \$27.4M of that came from working-capital swings (receivables, contract assets, deferred revenue). The other ~81% is simply operating losses. There is no “we’re building inventory for a booked second half” defense available, because the cash flow statement doesn’t show that build. Add \$41.1M of capital spending and first-half free cash flow is –\$185.2M.
2. **The backlog the company markets is not the backlog it files.** Press releases and the earnings call describe roughly \$1.5 billion of backlog. The 10-Q filed the same week discloses remaining performance obligations of **\$563.7 million** — a 2.7× gap. About 42% of that (\$236.7M) is scheduled to convert within twelve months. Meanwhile the guidance midpoint requires roughly \$236.4M of revenue in the second half alone. Six months of guidance would consume essentially the entire twelve-month contracted pipeline. Management’s “95% of the second half is booked” is a transcript statement we cannot tie to any filed number.
3. **The dilution has a date.** At roughly \$82M of operating cash burn per quarter plus ~\$20M of capital spending, \$635.3M funds about six quarters. That points to a required equity raise around **late 2027** — inside any reasonable holding period for this name. At 8.7× guided sales, that raise is a valuation problem, not a timing problem you wait out.

The company trades at an enterprise value of roughly **\$3.77 billion** (\$4.376B market cap – \$635.3M cash and investments + \$27.2M debt) — about 8.7× guided sales and roughly 43× gross profit at the 20.3% gross margin it actually printed.

What the market believes

The nine analysts covering the stock expect FY26 revenue of **\$438.52M** (range \$425.5–449.6M) and a loss of **\$1.86 per share**. The average price target is \$41.60; the lowest is \$25.

Two things follow. First, the market is not disagreeing with us about revenue — the consensus sits 0.8% from the guidance midpoint. Second, the market is not agreeing with its own analysts either: at \$26.14 the stock trades **below the lowest published target on the street**. It is 58% off its 52-week high of \$62.17 and still 63% above its \$16.00 low. Short interest is 13.19M shares, roughly 13.4% of the float, up from 11.84M, with 1.72 days to cover.

The honest read of the tape is that the marginal buyer already believes the burn is real and the multiple is too high. That is the same thing we believe.

Why we might have edge

Three places where our work genuinely goes past what is published:

- **The venue gap.** No sell-side note we can see reconciles the \$1.5B marketed backlog to the \$563.7M filed figure. Anyone underwriting “record backlog” off the press release is underwriting a number the audited-basis disclosure does not support. That is real diligence output, and it is portable to other government contractors.
- **The dated raise.** Consensus prices the burn (–\$1.86 EPS). We found no published estimate that prices a **2027 equity raise**. If we assume a raise sized to restore about two years of runway — roughly \$800M — that is ~18% dilution at today’s \$26.14, ~25% at \$19, and ~29% near the 52-week low. (That sizing is our own derivation, not a bench figure.) Dilution of that size, at a multiple that already requires re-rating, is not in any number we can find.
- **The quality of the growth is undisclosed.** Revenue grew 657% year over year (\$15.5M → \$117.7M), but SciTec closed on 2025-10-31, so the year-ago quarter contains zero SciTec. \$108.3M of the \$117.7M is the Spacecraft segment, which SciTec dominates. Neither the 10-Q nor any filed document splits organic from acquired. Nobody can honestly claim to know the underlying growth rate — including the bulls.

Why it might be priced in

Stated plainly, because most of it probably is.

- The consensus revenue number is management’s own guide, transcribed. Agreeing with the street on a transcribed guide tells you nothing — but it also means we have **no revenue disagreement to monetize**.
- The burn is in the consensus EPS. The market has already marked the stock 58% below its high and below every published target.
- The short interest at 13.4% of float with a live borrow says this is a contested, widely-examined name — not something the screen found first. Nobody is getting paid for noticing the losses.

- Remaining performance obligations are *supposed* to be smaller than marketed backlog. The accounting standard excludes unexercised options, IDIQ ceilings, constrained variable consideration, and cancellable unperformed contracts — all of which saturate government launch work. The 2.7× gap is a diligence finding worth having, but it is not by itself evidence of anything improper.
- The 2026-08-26 lock-up expiry is public and mechanical. Anyone who wanted to trade it has had since May.

What we checked ourselves

Including where our own benches got it wrong. Both errors below were caught inside this court, not by the market.

Claim	How checked	Found	Confirmed?
“A share resale unlocks <i>now</i> , on 2026-08-11” (original brief)	Pulled the 424B3 cover and its parent S-1 lineage from EDGAR	The 11,111,116 SciTec shares were registered under S-1 No. 333-291599, base prospectus dated 2025-12-19 . The 2026-08-11 424B3 is a routine supplement whose only new content is the attached 10-Q; identical supplements exist for March, April (Supp. No. 4, 2026-04-21), May and June. Those shares have been saleable for eight months.	NO — our brief was wrong. A filing-date artifact read as a new event.
“8M shares of insider selling is coming” (original brief)	Read the follow-on pricing release	The 2026-05-28 deal was 12.0M shares at \$48.00: 4.0M new shares from the company (~\$182.6M net) and 8.0M already sold by existing holders . The overhang was cleared in June, 45% above today’s price. Our brief stacked it on top of the SciTec shelf as if both were pending.	NO — our brief double-counted supply.
Our brief’s date for the unlock, 2026-08-12	Traced to source	It came from a secondary aggregator (MarketScreener) and survives no primary check.	NO — sourced from a secondary.
“Ex the ~\$24M SciTec payment, Q2 burn was ~\$82M” (original brief)	Pulled the operating cash flow series from SEC XBRL	First-half OCF –\$144.110M; Q1 – \$62.545M; so Q2 = –\$81.565M . Our brief’s “adjusted” figure reproduces unadjusted Q2 OCF exactly — because cash paid for an acquisition is an <i>investing</i> outflow and was never in the number being adjusted. It then compared that against Q1 free cash flow, a different basis.	NO — our brief mixed bases. The trend survives on a clean basis (OCF –62.5 → –81.6; FCF –78.9 → –106.3), so this changed the reasoning, not the verdict.
“We agree with the street, therefore there is no edge” (red bench’s kill)	Blue bench compared consensus to the <i>source</i> of consensus	Consensus \$438.52M sits inside the company’s own \$420–450M guide, 0.8% from the midpoint. The street transcribed the guide; it is not an independent check. Red generalized one line item — FY26 revenue —	PARTIALLY — red’s fact is right, red’s conclusion overreached.

Claim	How checked	Found	Confirmed?
		into a verdict of “no edge anywhere.”	
“13% short and widely covered, therefore a poor place to express a view” (red bench)	Doctrine check	Crowding is a sizing and timing input. Red tagged it SIZING and then used it in the rejection.	NO — red used a sizing input as a kill.
“Six months of guidance eats the whole twelve-month pipeline, so demand is fake” (red bench)	Blue bench checked the accounting definition	The arithmetic is right (\$236.4M needed vs \$236.7M scheduled). The inference is over-stated: RPO legitimately excludes options, IDIQ ceilings and constrained consideration. What survives is narrower and still useful — the guide is not contract-covered, and “95% booked” is transcript-only.	REDUCED — real finding, wrong severity.
Burn is operating loss, not working-capital timing	Cash flow statement components	AR –\$11.838M, contract assets – \$16.440M, deferred revenue +\$0.839M ≈ –\$27.4M of a –\$144.1M operating outflow (~19%).	YES. This is the finding that should carry the verdict.
Capital structure and enterprise value	10-Q debt schedule	Total borrowings \$27.221M (7.71%/2029 \$16.129M; 8.31%/2031 \$8.030M; 7.8%/2031 \$1.949M; other \$1.020M), \$7.410M current. Cash \$459.817M + short-term investments \$175.447M = \$635.264M. EV ≈ \$3.77B.	YES. Debt is immaterial; the brief’s “true EV is higher” hedge is retired.
Marketed backlog vs filed backlog	10-Q revenue note	“At June 30, 2026, the aggregate amount of the transaction price allocated to remaining performance obligations was \$563.7 million,” ~42% within twelve months, against a \$1.5B marketed figure.	YES. Best new fact in the court.
Was SciTec a related-party or common-control deal?	Purchase accounting in the 10-Q	Arm’s-length third party, cash plus 11,111,116 registered shares, purchase accounting with developed-technology intangibles. Not a predecessor carryover.	YES — nothing there.
Was there a debt-funded dividend to the sponsor before the IPO?	Pre-IPO 24-month window	AE Industrial is a disclosed sponsor, but no debt-financed special dividend appears, and total borrowings are \$27.2M. The IPO retired no such debt.	YES — nothing there.
Live price	IBKR	Permission denied to both benches. \$26.14 is corroborated by two independent same-day sources but is a same-day close, not a live quote.	PARTIAL — no sizing may proceed on this basis.
Three 13G/A amendments (2026-08-11, two on 2026-08-14) and a Form 4 dated 2026-08-18	Attempted; not fetched	Neither bench opened them. They sat in the evidence pack. They are exactly the artifact that would settle whether the SciTec holders have sold into eight months of an open shelf.	NO — open gap, both benches.
Whether the launch business can earn its multiple	Searched filed documents for Eclipse program economics	No filed document discloses per-launch unit economics, capital cost to first flight, or cadence targets. Every cadence figure is transcript-only.	NOT CHECKABLE. Missing artifact named.

Claim	How checked	Found	Confirmed?
The evidence pack's own numbers	Cross-check	The pack's XBRL block returned empty stock-comp and empty operating cash flow, and its diluted share count of 13,877,000 is a pre-IPO figure that must never be used against today's 167,404,645 shares. Every cash-flow number in this court came from a separate SEC API pull.	PACK DEFECT — flagged.

PROPOSED ENTRY BANDS

The courts say no entry. These are reopen conditions, not a bid ladder. Current position: none. Current orders: none. Proposed size: **zero**.

Nothing reopens this on price alone. The stock being cheaper does not fix an undisclosed organic growth rate, an uncovered guide, or a dated raise. A reopen requires **at least one evidence trigger below**. Price levels are ceilings on where we would be willing to look, not invitations.

Evidence triggers (any one reopens the file): 1. **Q3 2026 results — expected 2026-11-11 (unconfirmed).** Reopen if operating cash burn narrows **in absolute dollars** (better than $-\$81.6\text{M}$) *while* revenue steps to $\sim\$118\text{M}$ or better. That would flip the single confirmed load-bearing finding. 2. **A filed reconciliation of the \$1.5B marketed backlog to the \$563.7M filed figure**, naming what sits in the $\$936\text{M}$ gap — unexercised options, IDIQ ceilings, letters of intent — with a funded/unfunded split. That makes the marketed number usable. 3. **An organic, ex-SciTec revenue split.** If first-half 2026 organic revenue is **above \$90M**, the demand story becomes independently verifiable and the backlog tension resolves.

Price ceilings, applicable only once a trigger above has fired (derived from the benches' own enterprise value math: shares 167,404,645; cash and investments $\$635.264\text{M}$; debt $\$27.221\text{M}$; guidance midpoint $\$435\text{M}$): - **\$19.22** — the price at which enterprise value equals $6\times$ guided sales. This is the highest price at which we would open a first tranche, and only with a trigger. - **\$16.62** — enterprise value at $5\times$ guided sales; note this sits essentially on the 52-week low of $\$16.00$. A second tranche level, again only with a trigger. - Any tranche must be underwritten **assuming the late-2027 raise happens**: roughly $\$800\text{M}$ at 18% dilution at today's price, $\sim 25\%$ at $\$19.22$, $\sim 29\%$ at $\$16.62$.

Exits/trims: none — there is no position to exit.

Explicitly NOT a reopen trigger: the 2026-08-26 lock-up expiry. The blue bench is right that this is a size-and-timing gate on an entry we have no thesis to make. We are not going to buy a lock-up expiry in a name we have just rejected on valuation.

Catalyst dates: - **2026-08-26 (approximate, unconfirmed)** — 90-day lock-up from the 2026-05-28 follow-on pricing rolls off. The 90-day convention was *not* read from the underwriting agreement; treat the date as plausible, not established. Eight days out. Roughly 8M shares whose holders sold at $\$48$ and are watching $\$26.14$. - **2026-11-11 (unconfirmed)** — Q3 2026 results. This date is derived

from a data vendor. No company release names it and no 8-K schedules it. About 60 trading days out. - **Roughly Q4 2027 (derived, not announced)** — the point at which cash and investments no longer fund a prudent forward runway at the current burn rate.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 16.0 (deck-provisional: 52-week low breach — re-read the file, does not authorize a bid.)
- filing watch: SC 13G/A, SC 13D/A, 4 until 2027-02-14 (deck-provisional: Resolves whether the 11,111,116 SciTec resale shares are stale (already sold) or latent (still held an))
- dated pack FLY|2026-08-26: FLY: 90-day lock-up from the 2026-05-28 follow-on rolls off; ~8M secondary shares priced at \$48.00 against a \$26.14 tape. Date derived from
- dated pack FLY|2026-11-11: FLY: Q3 2026 results; reopen only if operating cash burn narrows in absolute dollars while revenue steps to ~\$118M or better. Date is vendor
- dated pack FLY|2027-12-31: FLY: Approximate outer edge of the runway: \$635.3M cash and investments against ~\$82M quarterly operating burn plus ~\$20M capex dates a prud

What remains unverified

Stated without hedging, because most of these are things we simply did not do:

- **Whether the SciTec holders have sold.** Three ownership amendments and a Form 4 sat in the evidence pack, unread by both benches. If they show the shares are still held, the “stale shelf, therefore harmless” conclusion flips to “latent, therefore in front of us.” That would not change the flat verdict, but it changes the timing instruction.
- **The 2026-08-26 lock-up date itself.** Derived from the standard 90-day convention off the 2026-05-28 pricing. Nobody read the lock-up section of the underwriting agreement.
- **The 2026-11-11 earnings date.** Vendor-derived. No primary confirmation exists.
- **Organic versus acquired growth.** Not disclosed anywhere in a filed document. The 657% growth figure is uninterpretable.
- **What is in the \$936M gap** between marketed backlog and filed obligations.
- **Whether “95% of the second half is booked” is true.** It appears only on the earnings call and cannot be tied to a filed number.
- **Launch program economics.** No filed document discloses cost to first flight, per-launch economics, or cadence. Every such figure circulating is transcript-only.
- **Whether the live price is \$26.14.** Two independent same-day sources agree, but this is a close, not a live quote.
- **Capital spending trajectory.** \$41.1M in the first half implies a facilities build at Briggs and Leander, Texas. The resolving records are Williamson/Burnet County permits, which are not in

our data set — Austin's city permit feed does not cover those parcels. Not run.

- **Whether the burn rate holds.** The late-2027 raise date assumes ~\$82M quarterly operating burn plus ~\$20M capital spending continues. If burn accelerates with the launch program, the date moves in.

Primary sources: [10-Q, quarter ended 2026-06-30 \(acc. 0001860160-26-000023\)](#) · [SEC XBRL operating cash flow series, CIK 1860160](#) · [424B3 supplement under S-1 No. 333-291599](#) · [follow-on pricing release, 2026-05-28](#) · [consensus estimates](#)

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